

Case Study: Hershey's \$112 Million SAP Failure and the Halloween That Never Came

Context: Hershey's before the project

An American icon with legacy systems

By the late 1990s, Hershey Foods Corporation was a \$4.4 billion revenue powerhouse. The company controlled roughly 31% of the U.S. chocolate market, producing iconic brands like Hershey's Kisses, Reese's Peanut Butter Cups, and Jolly Rancher candies. With 15,000 employees and a distribution network spanning tens of thousands of retail outlets, Hershey's was a logistics-intensive operation where even small disruptions could cascade into massive revenue losses.

But beneath that brand strength, the company's technology infrastructure was aging. Hershey's relied on a patchwork of legacy systems that had been bolted together over decades. Order processing, inventory management, shipping logistics, and customer relationship management all ran on separate, poorly integrated platforms. As competitors began modernizing, Hershey's leadership recognized that a comprehensive technology upgrade was overdue.

The Y2K pressure cooker

The Year 2000 problem added urgency to an already pressing situation. Like many large enterprises, Hershey's feared that its legacy systems would fail when the calendar rolled over to January 1, 2000. This created an artificial but very real deadline: whatever new system was put in place had to be fully operational before the end of 1999.

This single constraint would prove to be the most consequential decision in the entire project. Instead of allowing the transformation to unfold at its natural pace, the Y2K deadline compressed everything into a dangerously tight window.

The triple implementation gamble

Three systems, one big bang

Hershey's did not simply replace one system. The company decided to simultaneously deploy three major enterprise platforms: SAP R/3 for enterprise resource planning (covering order management,

production planning, and financial operations), Manugistics for supply chain management, and Siebel Systems for customer relationship management.

Each of these systems, on its own, would represent a major transformation project. SAP R/3 alone typically required 48 months for an implementation of this scale, according to the vendors and consultants involved. Manugistics and Siebel each demanded their own integration work, training programs, and change management efforts.

The decision to deploy all three simultaneously, in what is known as a "big-bang" approach, meant that every business process across the company would change at once. There would be no fallback system. No partial rollout. No phased learning curve. On go-live day, every employee who touched an order, a shipment, a customer record, or a production schedule would be working with entirely new software.

Compressing 48 months into 30

To meet the Y2K deadline, Hershey's project leadership made the fateful decision to compress the implementation timeline from the recommended 48 months down to just 30 months. This 37.5% reduction in timeline had predictable consequences: critical phases were shortened or eliminated entirely.

Testing was the first casualty. In a well-managed ERP implementation, testing accounts for a significant portion of the overall timeline. It includes unit testing of individual modules, integration testing across systems, user acceptance testing with real business scenarios, and stress testing under peak-load conditions. At Hershey's, these phases were abbreviated to the point of being ineffective.

User training was the second casualty. With three new systems to learn and a compressed schedule, the training programs could not adequately prepare the thousands of employees who would need to use the new tools on day one. Warehouse workers, order processors, customer service representatives, and logistics coordinators all needed to learn fundamentally new workflows, but there was simply not enough time.

The worst possible go-live date

The system went live in July 1999. For most companies, a summer go-live might seem reasonable, a quieter period to work out early issues before the fall rush. But Hershey's is not most companies.

For a confectionery manufacturer, the business calendar has a sharp and unforgiving peak. Halloween alone accounts for a disproportionate share of annual candy sales, and the orders that fill store shelves in October are placed months in advance. By going live in July, Hershey's gave itself virtually no buffer between system activation and the start of its most critical order fulfillment cycle.

The back-to-school season, Halloween, Thanksgiving, Christmas, and Valentine's Day form a continuous peak that stretches from August through February. A July go-live meant that any problems with the new system would hit during the highest-stakes period of the year.

What went wrong at go-live

- **Orders entered the system but never came out**

Almost immediately after go-live, the cracks appeared. The core problem was deceptively simple to describe but catastrophic in practice: orders could be placed, but the system could not reliably process them through to fulfillment. The integration between SAP R/3, Manugistics, and Siebel broke down at multiple points.

Customer orders entered the system but got stuck in processing queues. Inventory data was unreliable, with the system showing stock levels that did not match what was physically in the warehouses. Shipping instructions were garbled or lost entirely. The automated processes that were supposed to move an order from placement through picking, packing, and shipping simply did not work as designed.

- **Full warehouses, empty shelves**

The cruel irony of Hershey's failure was that the company had plenty of product. Warehouses were stocked with Hershey's Kisses, Jolly Ranchers, Kit Kats, and Reese's cups. The manufacturing side of the business was working. But the systems that connected the factory floor to the retail shelf were broken.

Distributors and retailers who placed orders for their Halloween displays either received the wrong products, received partial shipments, or received nothing at all. Some orders were duplicated.

Others vanished entirely. The disconnect between physical inventory and the system's understanding of that inventory meant that fulfillment teams were essentially working blind.

- **Employees overwhelmed by unfamiliar systems**

On the ground, employees were struggling with systems they barely understood. Customer service representatives could not look up order statuses accurately. Warehouse staff received conflicting picking instructions. Logistics coordinators could not reconcile shipment data with carrier schedules.

The inadequate training compounded every technical glitch. When a system produces an error or an unexpected result, an experienced user can often identify the problem and work around it. But Hershey's employees had not had enough time with the new systems to develop that intuition. Every glitch became a full stop, requiring escalation to IT support teams that were already overwhelmed.

Manual workarounds proliferated. Employees began tracking orders on paper, making phone calls to verify shipment statuses, and using spreadsheets to reconcile inventory counts. These ad hoc processes were slow, error-prone, and completely unable to handle the volume of transactions that a company of Hershey's scale generates during peak season.

- **The Halloween meltdown: consequences and financial impact**

- **\$100 million in unshipped orders:**

The financial toll was staggering. Hershey's reported that it was unable to fulfill approximately \$100 million worth of orders during the critical Halloween and early holiday season. These were not hypothetical sales or optimistic projections. These were actual orders from real customers, Walmart, Target, CVS, grocery chains, and thousands of independent retailers, that Hershey's simply could not process and ship.

For context, \$100 million represented roughly 2.3% of Hershey's annual revenue. But the timing made the impact far worse than the raw number suggests. Halloween candy sales are highly concentrated in a short window. Once Halloween passes, unsold candy loses most of its value. There was no way to recover those lost sales later in the year.

- **Quarterly profits crater**

Hershey's third-quarter earnings told the story in stark financial terms. The company reported a 19% drop in quarterly profits compared to the same period the previous year. Revenue for the quarter fell 12.4% short of projections. The stock price declined 8% in the aftermath, erasing hundreds of millions of dollars in shareholder value.

The company was forced to issue a profit warning, a public admission that its technology implementation had materially damaged its ability to operate. For a company that had been a reliable performer in a stable industry, this was an unprecedented blow to its credibility with investors and analysts.

- **Retailer relationships damaged**

The financial damage extended beyond Hershey's own balance sheet. Retailers who had counted on Hershey's to fill their shelves for the biggest candy holiday of the year were left scrambling. Some turned to competitors like Mars and Nestle to fill the gaps. Others were simply left with empty shelf space during a period when every square foot of retail real estate should have been generating revenue.

Rebuilding those relationships took time. Retailers who had experienced the frustration of unfilled orders and unreliable delivery were understandably cautious about giving Hershey's the same shelf space and promotional commitments in subsequent seasons. The trust deficit created by the failure had a longer tail than the immediate financial impact.

- **A cautionary tale for Wall Street**

The Hershey's failure became an immediate case study in the business press and among enterprise technology analysts. It was featured in business school curricula, cited in industry reports, and referenced in countless boardroom discussions about the risks of large-scale IT implementations. The company's name became shorthand for what happens when technology ambition outpaces execution discipline.

Root cause analysis: five failures that compounded

- 1. Compressed timeline with no margin for error**

The decision to cut the implementation timeline from 48 months to 30 months was the original sin of the project. Every subsequent problem can be traced back, in some way, to the time pressure

created by that decision. Testing was cut short. Training was inadequate. Integration issues that would have been caught in a longer timeline went undetected until go-live.

The Y2K deadline was real, but the response to it was disproportionate. Other companies facing the same deadline chose to implement interim Y2K fixes for their legacy systems, buying time for a more measured technology transition. Hershey's chose the high-risk path of a full replacement under extreme time pressure.

2. Big-bang deployment across three platforms

Implementing SAP R/3, Manugistics, and Siebel simultaneously multiplied the risk exponentially. Each system had its own configuration requirements, its own integration points, its own user training needs. When all three went live at once, problems in one system cascaded into the others, creating a complexity that was nearly impossible to diagnose and fix in real time.

A phased approach, deploying one system at a time or rolling out to specific business units first, would have limited the blast radius of any individual failure. It would also have given employees the chance to learn one new system before being confronted with two more.

3. Inadequate testing

The abbreviated testing phases meant that integration points between the three systems were never fully validated under realistic conditions. The kinds of data flows that work perfectly in a controlled test environment with small data sets often break down when subjected to the volume and variety of real-world transactions.

Peak-load testing was particularly insufficient. Hershey's needed to know whether the system could handle the transaction volumes typical of its pre-Halloween order surge. Without that testing, the company was essentially running a live experiment on its most important business process during its most important business period.

4. Insufficient user training and change management

Technology implementations fail when the people using them are not prepared. Research consistently shows that [70% of digital transformation projects fail](#), and the primary driver is not technology malfunction but user adoption failure. At Hershey's, the training deficit was not a secondary concern. It was a central cause of the operational breakdown.

Employees did not just need to learn new software interfaces. They needed to learn entirely new business processes. The way an order was entered, tracked, modified, and fulfilled changed completely. The way inventory was counted, allocated, and reconciled changed completely. The way customer interactions were logged and followed up on changed completely. Learning all of this simultaneously, under time pressure, with inadequate training resources, was a recipe for failure.

5. Catastrophic go-live timing

Even if everything else had gone perfectly, the decision to go live in July before a peak season that begins in August would have been risky. Best practice in ERP implementations is to schedule go-live during the quietest period of the business cycle, giving the organization time to stabilize the new system before transaction volumes increase.

For Hershey's, the optimal go-live window would have been January or February, after the Valentine's Day rush and before the summer ordering cycle. Instead, the company chose the worst possible moment, ensuring that any problems would be maximally damaging.

How this could have changed the outcome

- Proactive adoption coaching, not reactive support
- Contextual guidance across three unfamiliar systems
- Early warning system for adoption breakdown
- Reducing the manual workaround spiral

Lessons for any enterprise technology transformation

- Never let an arbitrary deadline dictate your rollout strategy
- Phase your deployment
- Testing is not optional
- Invest in adoption, not just implementation
- Respect your business calendar